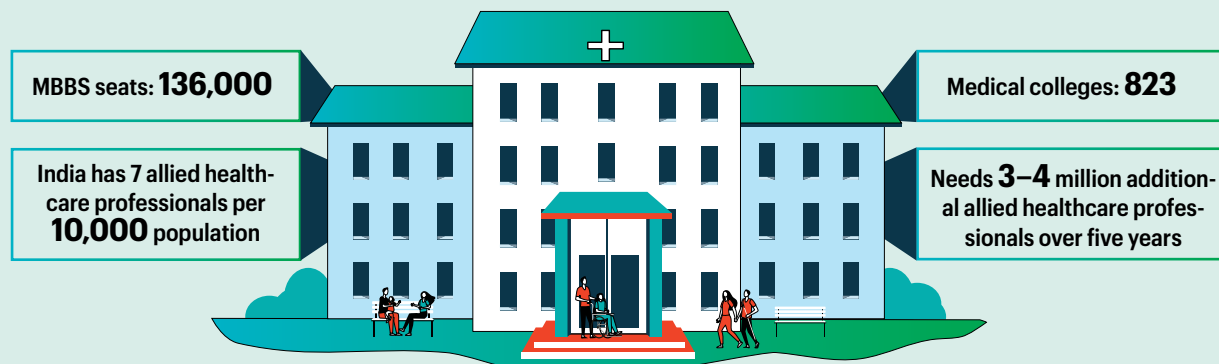


THE TALENT CHALLENGE

Building hospitals is easier than building specialist talent, making skilled healthcare professionals the sector's biggest long-term constraint



SOURCE NATIONAL MEDICAL COMMISSION, NATHEALTH.

FIVE TRENDS SHAPING THE SECTOR



Bigger hospital networks

Insurance-led demand

Consolidation through acquisitions

Capital market funding

Technology and AI-enabled hospitals

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ILLUSTRATION BY RAJ VERMA

capital is expected to support expansion and improve healthcare infrastructure, it has also sparked debate over affordability and patient care. A growing body of research suggests private equity ownership can accelerate the commercialisation of healthcare and may contribute to higher healthcare costs. "Healthcare has now gone from being a service into an asset class," says Dr K. Srinath Reddy, Chancellor of the PHFI Institute of Public Health Sciences (Deemed to be University). He argues that investors seeking higher returns can increase the cost of care and encourage unnecessary procedures, highlighting the need for stronger regulatory

oversight as private equity expands across hospitals, diagnostics, pharmaceuticals and insurance.

CAPITAL FUELS BOOM

The growth of the private healthcare industry explains why investors are willing to pay a premium for the sector. India's hospital market, estimated around ₹10.5 lakh crore in FY24, is projected to grow to nearly ₹16.6 lakh crore by FY32 at a compound annual growth rate of 8%, according to the India Brand Equity Foundation.

Private equity continues to back acquisitions and consolidation, listed hospital companies are com-